

DASH · FY2025 Q4

DoorDash, Inc. · 68 turns · 18 participants

CAST (IN ORDER OF APPEARANCE)**Elizabeth**

Operator

Tony Hsu

Co-founder, Chair and CEO

Andrew Boone

Analyst, Citizens Bank

Deepak Marivani

Analyst, Kantar Fitzgerald

Joseph Squally

Analyst, Truist Securities

Justin Patterson

Analyst, KeyBank

Lee Horowitz

Analyst, Deutsche Bank

Mark Mahaney

Analyst, Evercore ISI

Nikhil Devani

Analyst, Bernstein

Weston Twigg

Head of Investor Relations

Ravi Nakonda

Chief Financial Officer

Bernie McTernan

Analyst, Needham

Eric Sheridan

Analyst, Goldman Sachs

Josh Beck

Analyst, Raymond James

Justin Post

Analyst, BofA Securities

Lloyd Walmsley

Analyst, Mizuho

Michael Morton

Analyst, Moffitt Nathanson

Shweta Kajaria

Analyst, Wolf Research

ELIZABETH Operator

Hello, everyone. Thank you for joining us and welcome to the DoorDash Q4 2025 earnings call. After today's opening statement, we will host a question and answer session. If you would like to ask a question, please press star one on your telephone keypad. To withdraw your question, please press star one again. I will now hand the call over to Weston Twigg. Please go ahead.

WESTON TWIGG Head of Investor Relations

All right. Thanks, Elizabeth. Good afternoon, everyone, and thanks for joining us for our Q4 2025 earnings call. I'm pleased to be joined today by co-founder, chair, and CEO, Tony Hsu, and CFO, Ravi Nakonda. We'll be making forward-looking statements during today's call, including, without limitation, our expectations for our business, financial position, operating performance, profitability, our guidance, strategies, capital allocation approach, and the broader economic environment. Forward-looking statements are subject to risks and uncertainties that could cause actual results to differ materially from those described. Many of these uncertainties are described in our SEC filings, including our most recent form, 10-K and 10-Q. We should not rely on forward-looking statements as predictions of future events or performance. We disclaim any obligation to update any forward-looking statements, except as required by law. During this call, we will discuss certain non-GAAP financial measures. Information regarding our non-GAAP financial measures, including a reconciliation of such non-GAAP measures to the most directly comparable GAAP financial measures, may be found in our earnings release, which is available on our investor relations website at ir.doordash.com. These non-GAAP measures should be considered in addition to our GAAP results and are not intended to be substituted for GAAP results. Finally, this call is being audio webcasted on our investor

relations website. An audio replay of the call will be available on our website shortly after the call. Operator, I'll pass it back to you and we can take our first question.

ELIZABETH Operator

Thank you. We will now begin the question and answer session. Please limit yourself to one question. If you would like to ask a question, please press star 1 on your telephone keypad. If you need to withdraw your question, please press star 1 again. Please pick up your handset when asking a question. If you are muted locally, please remember to unmute your device. Please stand by while we compile the Q&A roster. Your first question comes from the line of Shweta Kajaria. Your line is open. Oh, with Wolf Research. Your line is open. Please go ahead.

SHWETA KAJARIA Analyst, Wolf Research

Thanks a lot for taking my questions. Let me try two, please. One is on competitive intensity globally and specifically in Europe. If you're seeing anything different, and if so, has it been rising? And then second is on investment. This may be for Ravi. How should we be thinking? There's a lot of maybe debate that's going on in terms of the level of investments, not only in 2026, but to the degree that it may continue into 2027, especially as it relates to tech-rich platforms. So could you please, Ravi, help us think through how we should think about it? Is it a one-time in 2026, or should we expect some elevated level of spend in 2027, too, because it could bleed into next year? Thanks a lot.

TONY HSU Co-founder, Chair and CEO

Yeah, hey, Shweta, I'll start by talking about Europe. Overall, we feel really great about our position in Europe. We're the leading player in many of the countries in that continent, and we're off to a really great start with our Deliveroo acquisitions. With respect to Deliveroo, we are growing much faster at the same profit contribution that we expected before the acquisitions. We're gaining share in its largest markets. We're doing the same on the Volt side. And so when I overall look at our business outside of the US, what I see is faster growth than what we see in the US, which by the way, the US had two of the fastest growing quarters in 2025 in the last four years. So to trump that is actually quite impressive. And we're continuing to improve our unit economics across the board. I feel really strong about our position overseas.

RAVI NAKONDA Chief Financial Officer

Should on your second point, like I'll make a couple of points. One, my expectation for the full year EBITDA for 26 has not changed since the last call. The way I think about it is 2026 EBITDA margin is going to be up slightly compared to 2025, excluding RU and RU to produce about \$200 million of EBITDA, like we said. So that remains very consistent. Look, as we're thinking about investing, there's three major parts of investing that we called out. The quantum of investment dollars is also very similar to what I'd expected at the time of the last call. One of the major areas of spend, as you called out, is our global tech stack. Look, we are happy with the progress. We're making good progress there. There are components of that spend that are redundant, especially as we take on the cost of running both tech stacks in parallel. The majority of that should be in 26. Some of that will be in 27. which will come off, but that's a smaller component of the overall spend. The other two areas are both autonomy as well as merchant services. We are expanding both of those areas. We are investing. We like what we're seeing there. And in fact, I mean, if we continue to make more progress from a customer benefit perspective, our goal is to continue to invest more. So, I mean, our goal has always been to maximize long-term free cash flow. We believe these investments are the right investments, especially as we think about becoming the operating system for local commerce. As we make more progress, will continue to invest behind them because ultimately they lead to more areas where we can invest behind as well as improve overall free cash flow generation.

Okay, that's very helpful.

ELIZABETH Operator

Thanks, Tony. Thanks, Ravi. Your next question comes from the line of Michael Morton with Moffitt Nathanson. Your line is open. Please go ahead.

MICHAEL MORTON Analyst, Moffitt Nathanson

Hey, good evening. Thanks for the questions. Maybe one for Tony to start. In the press release, you talk about investing to support growth in longer distance and higher effort deliveries. I was wondering if you could provide some more details on what type of deliveries those are related to. And just following up on that, like Dash has made a lot of investments in Dash Mark and Dash Link. And Tony, I'd love to hear maybe if it's related to that longer distance investment, but how you see the e-commerce landscape evolving. Do you expect to see local inventory worked more into the kind of consumer shopping experiences and anything around that would be great? And then maybe a quick one for Robbie. I love the commentary on the inflection in unit economics for your new verticals business. Could you speak a little bit about some of the drivers of that improvement? Is it scale and also maybe less investment requirement? Anything in that would be great too. Thanks.

TONY HSU Co-founder, Chair and CEO

Yeah, I'll start. On the question with respect to, you know, dashers and the evolution around, you know, what DoorDash is doing in the world of, you know, commerce. I mean, I think Robby kind of touched nicely about this on the previous question about how we're building the operating system for local commerce. And so I'll maybe take, you know, a couple minutes to expand upon that a little bit. And then I'll, you know, answer directly your question about how dashers. And frankly, some of our other audiences play into this broader ecosystem. When I think about what it's going to be required in order to allow all the small, medium, and large physical businesses to become omnichannel businesses and compete against one or two large behemoths, it's going to require software, it's going to require warehousing and physical infrastructure. It's going to require the lowest cost of delivery at the highest quality, and it's going to require amazing software. And if you think about a lot of what we announced actually in 2025 at our Dash Forward product event in September, as well as the investments we're making into 26, I think they line up nicely to give you a view of what we're building. So if you think about it, We're starting by obviously building software for every small, medium, and large physical business, whether that means helping them and adding them into the DoorDash app. One of the things that we've been seeing is just continued growth across all categories at DoorDash. Now, around 30% of customers are ordering outside of the restaurant category, especially as we've broadened our reach. into grocery, retail, where we've become the leading third party transaction platform in the US. And we're growing very, very fast outside of the US as well in that dimension. So we're bringing software in that dimension. We're bringing software also in the dimension of all of the B2B products we're shipping, where we're helping businesses offer delivery through their own channels. We're helping businesses also stand up their own e-commerce solutions. We're building warehouses to bring inventory closer to where consumers live. So we announced Dash Mart fulfillment services last September. We're very excited to be partnering with companies like Kroger or CVS to really offer the highest possible quality, the perfect inventory accuracy. at the lowest cost and the fastest speeds so that they can compete and offer, you know, same hour, same day delivery against their peers. That's something that we're doing. And, you know, we're also investing in how to do this in the future, right? And that's really our investment into autonomous vehicles where we announced DoorDash Dot as well as some other projects that we're working on in order to make sure that no physical business will be at a disadvantage when it comes to offering, you know, the best possible delivery experience at the lowest possible cost. So when you think about how dashers kind of fit into this

system, one of the things that has to be true, and that is true, I mean, it's been happening throughout, you know, last year, the years before, and obviously this year and into the future, is that dashers will have more choice in terms of the types of orders they can take on. And that's why one of the investments we're making this year is actually directly into Dashers so that as they do more types of grocery retail orders, which can travel longer distances, which are usually more complicated because there's a shopping nature involved, although not always. But because of the greater complexity, you know, we want to make sure that, you know, the pay models reflect that. We want to make sure that the app experience actually reflects that. And there's a lot that we're also doing and cataloging all of the physical information that exists nowhere on the internet that we're also partnering with Dashers to do as well. So there's a lot of things that we're building, but we're building all of the fundamental building blocks at the end of the day to enable local commerce so that, you know, for consumers, they can get anything inside the city delivered to them, you know, at the best possible experience at the lowest possible price.

RAVI NAKONDA Chief Financial Officer

Hey, Michael, on your broader question around new verticals, right, retail and grocery business, maybe I'll zoom out and just talk about the performance and what we're seeing in that business. Look, I mean, new verticals had a really strong quarter as well as a year. We are the fastest growing in the U.S. as it relates to third-party peers. Look, today, you know, Tony mentioned the fact that 30% of our miles in the U.S. order from categories outside of restaurants, and our focus has always been how do you get that 30% to be 100% over time? And what we're seeing is as we improve selection, as we are investing behind making the product better, whether it's quality, affordability, more and more of our mouths continue to order from categories outside of restaurants. In fact, the number of new consumers that join and start their journey with new verticals is also improving on a year-over-year basis. At the same time, we've been focused on improving the efficiency of that business. When I look at the profitability, I mean, the team has made really good progress in unit economics year-over-year. I expect our entire retail and grocery business to be, you know, economic positive in the second half of the year. And look, when I look at that, I mean, it's just continued execution, right? It's a combination of steady progress that we're going to make over a bunch of different fundamentals, whether it's scale, you know, density, continue to improve the efficiency on the logistics side, basket sizes are getting larger. There's no one thing which is a step function change. It's continued execution, finding basis points, largely how we operate our entire business, And our primary focus continues to be, hey, how do you actually get the business to scale? You know exactly what we need to do on the economic side? How do we get 100% of our miles to use grocery and retail? That's the real focus that we've had as a team. Thank you.

ELIZABETH Operator

Your next question comes from the line of Nikhil Devani with Bernstein. Your line is open. Please go ahead.

NIKHIL DEVANI Analyst, Bernstein

Hi there, thanks for taking the question. Tony, I wanted to ask about agentic commerce and where you see things going longer term. I think today it's clear that Dash has very strong direct relationships with consumers and even with where things currently stand with AI chatbot experiences, that feels well intact. But there is a debate around how this might change in an agentic future where search discovery transaction flows start to compress and get more automated. You know, you might still be part of the transaction, but perhaps the economics look different is the debate. So how do you think about positioning DoorDash for that future as consumer behavior evolves? Do you want to integrate with third parties? Does it make more sense to double down on your own vertical solutions? Maybe you disagree with that altogether and think agentic AI is upside as a broad premise. So just curious for any thoughts you have on that. Thank you.

TONY HSU Co-founder, Chair and CEO

Sure. No, I think it's a great question. And, you know, the first thing I always come to when it comes to any new technology, whether it's, you know, autonomous vehicles or agenda commerce and kind of, you know, how that interacts with LLMs, it's really how well does it solve the end-to-end job for a customer kind of becomes the lens in which I approach all of these things. And, you know, I actually think that maybe the best way to think about this is to look a bit through history and maybe offer you a couple of examples, and then maybe work our way towards the present and think about the future. So, you know, when I think about these, you know, terrific products, whichever, you know, chat assistants that you love using or just protocols with Agenda Commerce that you like using, I kind of view them very much as almost like the new forms of the Googles or other large, you know, kind of top of funnel channels, if you will. And if you think about, you know, I'll give you a couple of examples from history that kind of maybe touch on your question. One is look at what happened to product search over the 2010s. You saw over time, you know, companies like Amazon take increasing share of product search. from traditional search engines because they did the end-to-end job for customers. Because searching to buy an item is only one task, but perhaps reading reviews or tracking the package or returning the package or any other form of customer support are also part of the end-to-end job that you have to solve for customers. And over that decade, you saw, I think, companies like Amazon and others you know, take increasing share when it comes to something like product search. Another example that comes to mind and maybe closer to home is, you know, something that actually Google launched called Google Food Ordering, which they launched in, you know, I believe it was like 2016 or something like this, where they offered the ability for restaurants to offer delivery directly through Google Maps and other Google services. And look, they drove a ton of traffic, you know, multiple full traffic of what DoorDash could generate to these restaurants. But when you looked at the retention and the frequency of use of that channel versus companies like DoorDash, it really was a fraction of what DoorDash could provide. Why is that? Well, because after a checkout, things can happen in the physical world. For example, a driver might be late or an item might be missing or Some substitution on a spoiled carton of milk needs to be made or not the exact brand of whatever produce that a customer was looking for needs to be changed. So the end to end job at the end of the day, I think is how customers will ultimately judge where they do their shopping. And at the end of the day, wherever the customers keep going back to, that's where the audiences will flow and where the audiences flow So will the advertiser budgets as well as the interests along that dimension. And so when I put all this into perspective, the historical context into where I look at DoorDash today, I think DoorDash is really well positioned because we're actually solving the end-to-end job for a customer, which is to get them some item brought to them in the condition they expect on time every time. That's actually really hard to do. You've got to map the physical world, all of which that information does not exist anywhere on the Internet. That's data that DoorDash has to collect in a proprietary way. You have to actually be excellent at the execution of the operations. You have to be excellent at collecting all the metadata as well for all of these different items, as well as the personalization you can perform if you actually have all of the customers and all of the customer information. And I think when you put it all together, we're going to be the best place to solve the end-to-end job for customers. And so long as we are that best place, we will also attract all of the audience and all of the advertiser dollars that comes from that audience. But look, I think with respect to how that informs our partnerships with some of these AI assistants, I view them as channel partners. and we'll see how much traffic they can drive in a very similar way to how companies like Facebook and Google did the same for DoorDash in the past.

NIKHIL DEVANI Analyst, Bernstein

Thanks, Tony.

ELIZABETH Operator

Your next question comes from the line of Deepak Marivani with Kantar Fitzgerald. Your line is open. Please go ahead.

DEEPAK MARIVANI Analyst, Kantar Fitzgerald

Great. Thanks for taking the questions, one for Tony and one for Ravi. Tony, can you talk about the strategy with the autonomous delivery platform? What do you think this platform looks like in two to three years, perhaps between first-party efforts with DOT and maybe through and also with some of the other third-party partnerships? And then for Ravi, can you elaborate on the reasons why the unit economics improvement in the core U.S. restaurant business will be lower this year than prior years you know is that from maybe slower advertising growth due to scale or perhaps moderation and some efficiency gains or maybe reinvestments can you expand on that if you don't mind thank you so much yeah hey you know on autonomy um you're absolutely right that the autonomous delivery platform is probably the most valuable part of what we're building because the way i kind of view it is that in the future

TONY HSU Co-founder, Chair and CEO

there will be a collection of different vehicles, a fleet of different vehicles, both by land and by air, some of which we'll build inside our four walls and others of which we will partner. And I think the most important part is actually playing the orchestration of all of the activity and movement and the handoffs, because it's not gonna be immediately, or it's at least not immediately obvious to me, that, you know, autonomous vehicles are going to perform every single type of delivery. There are certain times where you're going to see handoffs between, you know, dashers and AVs. At other times, you're going to see AVs perform deliveries that dashers don't want to do. At other times, you're going to see dashers perform deliveries that AVs are not well equipped to do. And so, it's really, you know, the kind of goal for 26, then, is really to figure out what are all of these different use cases? Where can we apply the most pragmatic business impact and customer impact immediately? We're doing that right now in a couple of different markets. So we actually have real live deliveries happening right now with ABs, and we're very excited about the future.

RAVI NAKONDA Chief Financial Officer

Hey, Deepak, on the U.S. restaurant point, maybe I'll give you a slightly broader answer, right? When I look at the performance of the U.S. restaurant business, it continues to be quite strong. In fact, in Q4, the contribution margin for the U.S. restaurant business was up on a year-over-year basis. And I do expect us to continue to improve margins in 2026. When I look at the last few years, I mean, growth has been quite strong. In fact, in 25, the restaurant business grew faster at a larger scale compared to 2024. And even when I look at the efficiency that we've driven over the last three or four years, it's been quite good. We've driven improvements in margin. Dash or costs have become more efficient. CNR has become more efficient. We've driven leverage in sales and marketing. Like you called out, ads is becoming a larger portion of the overall business. And we're still continuing to invest behind that business, whether it's selection, quality, affordability. As I look ahead, I do expect us to continue to improve margins, albeit it will be at a lower pace compared to prior years. Some of that is going to come from DashPass. As you know, DashPass had a record year as well as a record quarter. DashPass is going to have an impact on margin, but look, Overall, the ROI is strong because profit dollar production is going to be high, largely because it's very simple. Subscribers retain more, they order more, which means that they produce more gross profit dollars. Look, our focus has always been on overall profit dollar production, which continues to be quite strong. And when I look at the top line and the bottom line of the restaurant business, both continue to be very healthy.

DEEPAK MARIVANI Analyst, Kantar Fitzgerald

Thank you so much.

ELIZABETH Operator

Your next question comes from the line of Joseph Squally with Truist Securities. Your line is open. Please go ahead.

JOSEPH SQUALLY Analyst, Truist Securities

Great. Thanks for taking the questions. Maybe, Tony, just a question on competition again, but maybe from a grocery and perishables perspective. So as Amazon is doubling down on those categories, can you maybe talk a little bit about what you're seeing in terms of your growth within that category and in Q4, and have you seen any changes in the competitive landscape so far? And then, Ravi, on the headwinds to Q1 margins, can you just help us kind of quantify the impact of the higher Dasher costs? And I know there's a seasonal effect there, but is it more seasonal this year than in prior years, or is it just normal seasonality? Thank you.

TONY HSU Co-founder, Chair and CEO

Yeah. Hey, Yusuf. Yeah, on the first question regarding grocery, In short, no, we haven't seen an impact on our growth. In fact, we continued very high growth rates as fast as we've seen in the grocery sector, not just in Q4, but also for this year as well. And I think if you think about perhaps why we continue to see fast growth, I think there are a few points. The first thing I would say is If you think about what we're trying to create, we're trying to create a world in which there's, you know, the maximal amount of choice for what customers can get delivered. And that includes all of the grocers. You know, there's a reason, you know, why there exists, you know, tens of thousands of supermarkets in the U.S. It's not just because it's a large geography. It's because, you know, the average customer does buy from a couple of different places when it comes to their groceries, whether it's, you know, buying from You know, place A for their meat and fish, place B for their produce, place C for their pantry items, place D for some specialty items, etc. And I think DoorDash is the place in which you can get all of this at the best possible price and the highest quality of delivery. And so That's, I think, you know, our angle at it, where we think that in the future, so long as you believe that customers are going to want choice, and I think that can be, you know, well-reasoned when you just look at the landscape of grocery and how there exists so many grocers out there, which indicates that I think consumers prefer choice, then that will continue to be very strong, you know, interest in the DoorDash product. And then especially if you add some of the capabilities now we're adding, where we're adding, you know, fulfillment services with Dash Mart fulfillment service where we're increasing the quality and doing that for every single grocer so that they have the capability to compete against companies like Amazon. You know, I think that just bolsters the product offering.

RAVI NAKONDA Chief Financial Officer

Hey, Yusuf, on your second point, I think it goes on Q1 EBITDA as well as Dasher. Look, I mean, I think there's a couple of factors in Q1. One, it's just phasing of investment, which is, somewhat unique this year in the sense that we are investing in RU. Some of that investment is front-loaded. I expect Q1 EBITDA from RU to be about \$25 million lower than Q4, but the full-year number is still \$200 million, which stays very consistent. The second part is there was an impact because of the winter storms in January. That's roughly about \$20 million. And finally, to your point, Dasher has been very seasonal, right? Like we saw seasonal impact of Dasher in Q1 every single year for the last several years, 2023, 2024, 2025, 2026, I would expect it to be Very similar. But your second point around your broader Dasher look, I mean, Dasher trends fairly consistent with what we've seen in years prior. When I look at Dasher cost as a percentage of GOV, we generated leverage in Q4 on a year-over-year basis. And I expect us to continue to generate some leverage in Q1 as well when I look at it as a percentage of GOV on a year-over-year basis.

JOSEPH SQUALLY Analyst, Truist Securities

Great. Thank you both.

RAVI NAKONDA Chief Financial Officer

No problem.

ELIZABETH Operator

Your next question comes from the line of Josh Beck with Raymond James. Your line is now open. Please go ahead.

JOSH BECK Analyst, Raymond James

Yeah, thank you for taking the question. I wanted to ask, I know it's only been maybe about five months since you've closed Deliveroo. Have there been any standout learnings when you think about the loyalty program or the fulfillment network or merchant terms, just anything that has really jumped out to you as an opportunity area to lean in towards. And then on the platform modernization, I know it's arguably very early there as well, but anything you can update us on in terms of maybe some of the efficiencies that you're expecting to gain and maybe how that could either accelerate philosophy or maybe free up uh you know investments elsewhere just would really like updates on on those topics thank you uh sure um hey josh it's tony i'll maybe take a crack at both questions and feel free to jump in ravi um you know on the deliver route uh you know i i think

TONY HSU Co-founder, Chair and CEO

to kind of echo what we've said on the call so far, it's just been a great start. I mean, like, you know, I think the numbers and the performance speaks for itself. Whenever you're growing faster, you know, at the same budget and you see more room for upside, I think that's always a great place to start. You know, with respect to opportunities to improve, yeah, I agree. There's a ton of things we kind of have identified. You know, I think we'll be able to ship, you know, many things I mean, frankly, this quarter to be able to improve. And it's really just across the board. I mean, when I look at these kinds of businesses, it's really a bunch of small things that add up to make the difference. There's never like one glaring huge thing, because usually when there is, that's a very actually quite simple fix. It's usually the combined sum of lots of small things that compound that ultimately you know, is what allows us to offer surplus to customers or a deficit and fail at delivering what the customers want. And so we see opportunity pretty much across the board, and we're shipping, you know, things literally every single day to improve them. So we've already, you know, seen benefits from things that we've taken from our lessons learned at, you know, building DoorDash, at acquiring Volt, and have shipped those to our audiences over at Deliveroo to see improvements in all of the audiences. On the second question, with respect to the tech platform, you're completely right in the premise of the question, where I believe right now, if you think about our setup, it's really not ideal. We operate on three tech platforms, pretty much a very similar business. And what does that mean? That means that you're going to be slowed down because in order to ship one feature, you have to ship that three times in slightly different tool calls and processes that make no sense. And so what we're doing is we're making this pretty big investment in order to both improve the velocity in which we ship to clear out some of the inefficiencies that I described and also just be more efficient with our global footprint. And I think we'll be able to do both of those things, you know, as a result of building this tech platform. But I think above all else, actually, you know, we've already seen this kind of play out nicely in the, you know, four months that we've worked together with Deliveroo, where when we do ship something that has worked in the US for us, or in another part of Europe with Volt, to Deliveroo, it has added immediate impact to the customer audience. And we see hundreds of those opportunities in the platform work that we're doing, moving everyone into the single tech stack, that I think customers across all audiences will benefit.

JOSH BECK Analyst, Raymond James

Super helpful. Thanks, Jenny.

ELIZABETH Operator

Your next question comes from the line of Eric Sheridan with Goldman Sachs. Your line is open. Please go ahead.

ERIC SHERIDAN Analyst, Goldman Sachs

Thanks so much for taking the questions. With respect to DashPass, how does that fit within your broader strategic priorities when you think about growth investments in the business in terms of incenting DashPass adoption more broadly across your markets? And then in terms of DashPass adoption, how do you think about that as a potential stimulant for order frequency when you think about cohort evolution looking out over the next 12 to 18 months? Thanks so much.

TONY HSU Co-founder, Chair and CEO

Hey Eric, it's Tony. I'll maybe start on DashPass and feel free to add in Robbie. I mean, DashPass is critical to our business. If you look at this program, it's a program that we started at the end of 2017, really shifted in 2018, and it's continued to be the core driver of our relationship with consumers. And I think it's grown in leaps and bounds, not just in some of the numbers that we've reported, but also in terms of the benefits that we're starting to shift to customers. And our goal with DashPass is to continue to increase the number of benefits in which we can offer. And we think there's a lot to do. For example, a lot of the benefits that you've seen recently has occurred as we've launched all of our non-restaurant categories, right? We are effectively charging the same fee for DashPass. We're adding even more value to get, you know, discounted or preferential pricing delivery, you know, for, you know, more complicated deliveries in retail and grocery and more valued, you know, discounts on key value items, things like this. You know, another potential area that we see a ton of opportunity is all of the work that we're doing with our in-store business. We announced our in-store business in 25 during the September Dashboard Product Event where we're starting to drive traffic inside to restaurants now with our 56 million MAUs, our over 100 million annual customers, and offering them either access or value to restaurants that they couldn't get otherwise if they were not members. I think the DashPass ecosystem has a long runway ahead of it. And, you know, if I kind of take a step back and kind of just think about that in quantitative terms, right now, you know, the average DashPass customer might be interacting with us, you know, a couple of times a week or something like that. But when I think about the number of eating occasions, there are 20 to 25. And then when I add in the shopping occasions on top of food consumption exceeds 20 to 25. So I think we're a fraction or a single digit percentage of what DashPass could actually achieve. So there's a lot of work to drive frequency, but that starts with adding more use cases to add more value.

ELIZABETH Operator

Your next question comes from the line of Ross Sandler with Barclays. Your line is now open. Please go ahead.

SPK02

Yeah, I just wanted to ask too, can we get an update on the storefront software business and how seven rooms and kind of the CRM part of it might be kind of accelerating the efforts on that side? And then back to the replatforming, you guys have done a nice job of laying out how all these components are coming together. Just the question is on timing. So clearly this will benefit both like speed of new features being rolled out and potentially expanding products or geos. When do we kind of see the benefits starting to show up? Is this going to be like a continuous thing in 26 onward or is it more kind of like after this year? Just any thoughts on the timing? Thanks a lot.

TONY HSU Co-founder, Chair and CEO

Yeah, I can start. so on first question with respect to you know storefront and software in general um it's going really well i mean like if you look at um the integration of seven rooms you know that also has been a relatively newer

project for us you know about six months um in partnership with the seven rooms team and you know already we've um been able to tremendously speed up their work i mean they're now adding venues 50 faster post acquisition um than you know before we partnered with them and If you step back and think about the thesis, it's proving the thesis that if you can add the best-in-class CRM software with the largest demand generator platform, which is DoorDash, it is a really valuable asset for these restaurateurs who really want to build more regular customers and have that direct relationship. That is also true for the storefront products, which is less about in-room dining or in-store dining and much more about the takeaway product. But especially as we expand kind of the merchant cohorts in which Seven Rooms currently addresses, Seven Rooms is kind of serving the higher end kind of cohort of restaurants. But as we simplify the features to be able to address a larger segment, that's where storefront and seven rooms really can team up to both serve a restaurant's four-wall business as well as their business outside their premise. You know, your second question on the timing of the tech stack, look, I wish that the tech stack were already here, but the truth is, You'll see a majority of the tech stack work completed this year, or that's at least my expectation. And I think with respect to the benefits, you know, you don't have to wait all at once. In fact, we're already seeing benefits from the work we're doing with the global tech stack in all of our different geographies in which we're shipping features from one market that are working into a different market. So that's already happening. That's in fact, one way in which you can test whether or not, you know, the value of the tech stack actually has any positive value to customers. And so we're seeing that. But yeah, we expect the majority of the work to be done this year.

ELIZABETH Operator

Your next question comes from the line of Ken Goralski with Wells Fargo. Your line is open. Please go ahead.

SPK07

Thank you so much. Two, if I may, please. First, could you Could you provide some color on what you see in the cohort data that gives you the confidence and continued robust core U.S. restaurant growth? Anything you might share on how later adopters behave differently than the base? And the second question, I just want to touch one more maybe on where Ross was going. And as we looked at 27, I know it's really early to speak about 27, and we appreciate the color on the 26 quarters. But any early take you could give us on the balance between investments and margins beyond 26? Any early thoughts on how you view incremental margins beyond 26 versus maybe historical? Thank you.

RAVI NAKONDA Chief Financial Officer

Sure. Again, I'll take the first one too. Look, I mean, when I look at the performance of the US restaurant industry, like I said in the earlier question, I mean, 25 grew faster than 24 at a larger scale. I think I should tell you the... Health of the underlying cohorts. MAUs continue to be quite strong. In fact, we hit an all-time high in terms of MAUs. The order frequency continues to be quite strong. When I look at the engagement of new consumers that still join, I mean, that continues to be quite strong. And the other thing that you're seeing is, I mean, subscription continues to be a big driver of growth for us. Both Q4 as well as 25, we added record number of subscribers. What you're seeing in the business is as the product continues to get better, there's more people that habituate. They graduate towards subscription. subscription, you know, they retain more, they order more as well as they try new categories. So overall, when I look at the mature cohorts as well as the newer cohorts, the engagement level in the US business continue to be strong, not just across restaurants, but even our new vertical business. And I think your second question, Ken, was, you know, just, you know, sort of like incremental margins. Look, I mean, we're not guiding the business towards incremental margins. We're not operating the business towards incremental margin. Our focus has always been on overall profit dollar production. Just to frame your thinking in terms of overall tech stack and what the impact there is, there's a couple of costs in there. One is some redundancy in cost as we try to run both tech stacks in parallel. Majority of that spend will be in 26. Some will be in 27, but that will come off. And you should expect that

to be a smaller component. But the biggest value driver for us, like we touched on earlier, is going to be velocity of feature development. You're going to become more efficient as developers work on the same tech stack. across all three platforms, and you should see the impact of that from an underlying cohort perspective as well as overall growth in the business.

ERIC SHERIDAN Analyst, Goldman Sachs

Thank you.

ELIZABETH Operator

Your next question comes from the line of Bernie McTernan with Needham. Your line is open. Please go ahead.

BERNIE MCTERNAN Analyst, Needham

Great. Thanks for the question. Just wanted to follow up on the discussion on AVs. Do you think the use case for delivery AVs would be broader than robo taxis and mobility, meaning that at least for the foreseeable future, robo taxis expected only to be in dense cities? Is there a use case for delivery AVs in the suburbs? And then as we're asking follow up questions on the financial guidance, the press release talked about EBITDA a lot higher in the second half of the year. I would say that's probably typical to normal seasonal trends that we see within the business. Just any additional color you could provide would be helpful. Thank you.

TONY HSU Co-founder, Chair and CEO

Yeah. Hey, Bernie. It's Tony. I'll take the first question on AVs. I mean, the short answer is absolutely, yeah. Of course we think that the delivery vehicles will be able to address both suburbs and city centers. In fact, if you look at actually, you know, DOT, it was constructed in a purposeful way to actually serve many of the suburbs. And that's true in its form factor. That's true in how we think about integrating it into the autonomous delivery platform in terms of which assignments it ought to receive or just which assignments it should not receive. That's also true for all of our projects, for our drone projects too, which cover, I would say, even beyond suburbs, but even more rural regions where the distance the distances travel are much farther, and you can go a lot faster in the air sometimes than you can go on land.

RAVI NAKONDA Chief Financial Officer

Hey, Bernie, on your second question, I mean, look, what I'll say is my expectation, like I said, for the full year has not changed compared to the last call. I expect the full year margin to be up slightly compared to 25 excluding Roo and Roo to be about \$200 million. You're also right. Look, the shape of the curve for us for EBITDA has always been Second half is higher than the first half. That's naturally how our business works. It's purely math, right? The volume grows through the year. Unit economics grow. And you put both those two together, you'll have more gross profit dollars as you go through the year, which means second half will be higher than first half. We have delivered on that in 23, 24, 25, 26. It's going to be no different. There are a couple of things which are different. One is investment in RU. Some of it is front-loaded. Like I said, it impacts Q1. I would expect RU to increase as you go through the rest of the year. The second one that we're seeing in the business is when I look at the pace of expansion of profitability for both our new verticals and international business XRU, that will increase or the pace of expansion is higher than in previous years, especially as I expect new verticals to be gross profit positive in the second half and international XRU to be contribution profit positive in the second half. So you put all this together, that's what's giving rise to the shape of EBITDA curve where second half is going to be higher than the first half EBITDA. Very helpful. Thank you both.

ELIZABETH Operator

Your next question comes from the line of Andrew Boone with Citizens Bank. Your line is open. Please go ahead.

ANDREW BOONE Analyst, Citizens Bank

Thanks so much for taking the questions. Ravi, I wanted to stay on costs and the intensity of investments. If I look at R&D and G&A, it's 211 basis points of GOV. We've talked about kind of that 2% target historically. Should we expect GOV to kind of grow when we just grow into this higher fixed cost? Or how do we think about the fixed cost component of the business on a go-forward basis? And then going to grocery, is there any detail that you can provide us in terms of the graduation of customers into the Sunday shop? Can you talk about just the evolution of customers and whether you're starting to capture larger baskets? Thanks so much.

RAVI NAKONDA Chief Financial Officer

Yeah, I'll take the first one. When I look at OPEX in Q4, I think that's probably what you're asking about as well. There's inclusion of rules, so you should take that into consideration. When I look at 2026, I would expect OPEX to be roughly about 2% of GOV that we talked about. Look, we're being very disciplined. We're investing in areas where we're improving the product to ultimately drive both scale as well as profitability. You're seeing that in terms of the overall growth as well as the profit dollar productions. Look, I mean, our goal is to continue to generate leverage, right? Like, OpEx, I think, over has cost of doing business, and our goal is to continue to generate leverage on it, just like, you know, any other part of the P&L.

TONY HSU Co-founder, Chair and CEO

Andrew, on the second question, you know, with respect to grocery, yes, is the short answer. We are seeing the evolution of customer behavior, both now incorporating kind of the middle-of-the-week run, which, you know, is kind of how DoorDash started, you know, five years ago in the grocery category. to now the larger baskets that happen on the weekends here in the US. In other parts of the world, it has a slightly different behavior, but we do see both behaviors now where people use this for both kind of the quick runs as well as the stock-up use cases. You see this, in fact, happening faster and faster with each successive cohort, and you see each existing cohort actually increasing their spend and their overall share of wallet when it comes to grocery with us.

ANDREW BOONE Analyst, Citizens Bank

Thank you.

ELIZABETH Operator

Your next question comes from the line of Lloyd Walmsley with Mizuho. Your line is now open. Please go ahead.

LLOYD WALMSLEY Analyst, Mizuho

Great. I was just wondering if beyond the first quarter guidance, you can help us with just how to think about a framework for GOV growth for the balance of the year. Appreciate the comments on the EBITDA cadence, but anything you can help us out with on GOV growth?

RAVI NAKONDA Chief Financial Officer

Yeah, look, I mean, I think a couple things, right? Like one, growth in the business, you know, continues to be quite strong. And we are seeing that from both existing consumers as well as newer consumers where MAU growth continues to be strong or the frequency continues to be strong. Like I said in, you know, one of the earlier questions, I mean, DashPass has had a record year as well as continues to drive, you know, overall growth. For us, The way I think about it is as long as we're continuing to improve the product, the underlying cohorts are responding, as you

can see from engagement as well as, you know, sort of attention. And for us, you know, I feel pretty good about the overall growth, not just in Q1, but for the rest of the year as well.

LLOYD WALMSLEY Analyst, Mizuho

All right. Thank you.

ELIZABETH Operator

Your next question comes from the line of Lee Horowitz with Deutsche Bank. Your line is open. Please go ahead.

LEE HOROWITZ Analyst, Deutsche Bank

Great. Thanks for taking the question. Maybe building on an earlier one, 2026 obviously a big year for investments in sort of the software and services stack for your merchants. Because looking beyond this year, where do you see sort of the natural adjacencies that you can build on top of once you've sort of rolled out this sort of new software service stack for your merchants that will drive more value to both your merchants and the consumers in the coming years? Thanks so much.

TONY HSU Co-founder, Chair and CEO

Yeah, Haley, I can start. I mean, the short version of this is, I mean, 26 in many ways is like a setup here of building like, you know, a new company that is now a global company, you know, operating in 40 plus geographies around the world, but doing the same thing. We just have like, you know, different countries and different markets to consider. And there are also at different maturities that when we've shipped certain products, right? So, you know, there's a, there's a lot of different things. And I think a lot of the adjacencies to your question can be derived from what we're shipping at DoorDash, right? I mean, so if you think about the different missions we have, one is we want to bring you everything inside the city. So a lot of the work is going beyond restaurants. I think we've certainly proven ourselves. you know, capable, you know, at least in the categories of grocery, convenience, and some of the early innings of other retail categories. So we've got a lot of work there to do. A big part of that has to do with also building fulfillment services in which we can, you know, forward deploy inventory on behalf of retailers so that they can offer same hour, same day delivery and be competitive with other, you know, big, big, big companies. We also have to invest in autonomous technologies so that these companies can do it at the highest quality and the lowest cost. So that's one big mission in terms of how those adjacencies work. A second one is how do we actually build software such that these companies can be omnichannel businesses? We talked a little bit about this on this call where we talked about storefronts, seven rooms, But there's also DoorDash Drive and offering delivery as a service. There's other services that we ought to be building as you think about how a physical business must effectively adopt in order to become an end-to-end digital business. So we have a lot of merchant services work that we have to do. That's also connected to the third mission of actually driving in-store traffic to merchants. We're starting this. with restaurants in the form of two products going out in which we're offering value to customers to discover new restaurants for casual dining. And we're also doing it in the form of access, where we're offering reservations to some of the best restaurants that work with seven rooms. And so I think there is a ton of work there to do as well. So I think those are three big missions that will take us quite a long journey in terms of building the operating system for local commerce and connecting consumers and merchants in more ways than we currently do. And if we can do this across every geography in the way that makes the most sense for that geography, I think it's a very exciting future for DoorDash.

ELIZABETH Operator

Your next question comes from the line of Justin Patterson with KeyBank. Your line is now open. Please go ahead.

JUSTIN PATTERSON Analyst, KeyBank

Great. Thank you. Good afternoon. On the ad side, it looks like you made some nice progress with symbiosis. I'd love to hear more about how you're evolving the ad product this year and some of the key steps you're taking to capture more grocery and retail advertising dollars. And then separately, I know this is not related to replatforming, but we have seen a lot of companies see benefits from agentic coding. Tony Doan- curious how what type of efficiencies, if any you're saying from that and how that might fit with the broader re platforming initiative, thank you.

TONY HSU Co-founder, Chair and CEO

Tony Doan- yeah hey justin's Tony yeah maybe i'll take both you know, on the question around ads your ads businesses growing really, really fast and you know it's probably. Tony Doan- You know, something I should have added in terms of just when I think about the record year that we're actually had in 2025. you know, ads was a big part of it in terms of, you know, it's more of a derivative or an output in terms of the growth from our marketplace. But it really had a strong year. With respect to Symbiosis, I mean, again, kind of similar to some of the other acquisitions that we've made, it's off to a great start. You know, we see that we've doubled the number of advertisers for Symbiosis as well as tripled the spend from those advertisers. And so I think that's been, you know, kind of the performance kind of speaks for itself. And in terms of kind of the roadmap this year, I think there's a couple things. You know, one is just I think one of the things that there's a lot of obviously talk in the ecosystem about just, you know, agents and agentic commerce and things like this. But one of the biggest agents that actually we've shipped, you know, last year was really our Smart Campaigns product in which we are helping restaurants buy on their behalf always ROI positive ad campaigns effectively. And I think that has been one of our fastest growing products on the restaurant front. With respect to grocery and retail, yep, we're definitely earlier on that maturation. But I think that just means that there's a lot more opportunity and runway for us in that space because most of the focus on the ads business thus far has been on the restaurant side. With respect to coding agents, I think, which is the premise of your second question, This is a topic that is changing literally by the day, maybe by the week. It's been kind of astonishing and almost breathtaking how fast coding is changing or has changed, is changing, and likely will continue to change given the pace and trajectory that we're on. I mean, we see 90 plus percent daily active usage, something like that across all of our engineers. When it comes to these coding agents, which certainly has made them productive. The question now is like, what is the right new environment for them to kind of keep up that, you know, sustained productivity game? And so that's, you know, I think the world that we and many others are trying to figure out.

ELIZABETH Operator

Your next question comes from the line of Justin Post with B of A. Your line is now open. Please go ahead.

JUSTIN POST Analyst, BofA Securities

Great. Thanks. In the release, you talked about unit economics of grocery retail going positive in the second half. What's enabling that? Is that scale or are you seeing new efficiencies on that front? And then thinking long term, how do you think about grocery retail bottom line profitability relative to U.S. restaurant? Thank you.

RAVI NAKONDA Chief Financial Officer

I touched on this, you know, earlier in the call. I mean, overall, New Verticals continues to be doing really well. You know, the profitability side, we've made really good improvements on the unit economics. To me, there's nothing step function or, you know, one big thing that you have to go solve is continued execution across improving logistics efficiency, improving the quality of the product. We talked about the fact that we're seeing basket sizes being bigger, both for existing as well as mature cohorts. So just continue the execution, trying to find pockets of efficiency up and down the P&L, improve the product, which will ultimately get us to being gross profit positive in the second half of the

year. Longer term focus continues to be how do we get 30% of our mouths that order from categories outside of restaurants to be closer to 100%. And if we're able to work on the product, if we make the quality of the product better, I think this is going to be a large business which will produce strong free cash flow for us over the long period of time.

JUSTIN POST Analyst, BofA Securities

Thank you.

ELIZABETH Operator

Your next question comes from the line of Mark Mahaney with Evercore ISI. Your line is now open. Please go ahead.

MARK MAHANEY Analyst, Evercore ISI

Thanks. I was just going to ask one question on Deliveroo. You talk about how you accelerated year-over-year growth and total orders for Deliveroo in the December quarter. That's faster than I would have expected. Just explain how you were able to do that and just – Are there a lot of other things you see that make you think that you can continue to accelerate those orders? Thank you very much.

TONY HSU Co-founder, Chair and CEO

Yeah. Hey, Mark. It's Tony. Look, the short answer is we just shipped improvements to the product. And there was no like one thing. And, you know, what I've learned about, you know, a lot of these businesses is it sounds really easy to bring you a burrito on time every time in the condition that you'd expect. It's actually another much more difficult thing to do it in practice. And it's just, you know, shipping a new thing every time we see a problem. And I think one of the, you know, great things was just how easy the partnership has been with the Deliveroo team. I mean, I really commend, you know, our teams working together really well. And just, again, shipping, executing to deliver against, you know, increasing customer expectations. We're not done. We have like a ton of work to do. Yes, we had a great kind of start and I'm really proud of the team. On the flip side, I also see like a ton of opportunity where we have to ship even more things. And so most of it was like just shipping things that we know are broken to also adding things that we've seen work in other parts of our business. We just see a lot more of those opportunities in front of us.

MARK MAHANEY Analyst, Evercore ISI

Okay. Thank you, Tony.

ELIZABETH Operator

Thank you, everyone. This concludes today's Q&A due to the time, and this also concludes today's call. Thank you for attending. You may now disconnect.